MGT613

Quiz No.4 Jan 2026

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90% To 100% Marks

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1. **The optimal order quantity shows a trade-off between which one of the following sets of costs?**
   - Carrying costs and setup costs
   - **Carrying costs and ordering costs** Correct
   - Carrying costs and stock out costs
   - Carrying costs and shortage costs

2. **In _____ sampling, one random sample is drawn from each lot**
   - Double
   - Multiple
   - None of the above
   - **Single** Correct

3. **Which of the following is an example of an output of aggregate planning?**
   - Demand forecast

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- **Projected inventory** Correct
- Facilities layout
- Overtime cost

4. **Which one of the following is a formula to compute annual carrying cost?**
   - (Q-2)H
   - (Q×2)/H
   - **(Q/2)H** Correct
   - (Q+2)H

5. **The main advantage of holding the inventory mainly in the manufacturing organizations is:**
   - Reduced obsolescence
   - **Greater availability** Correct
   - Improved quality
   - Material handling reduced

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6. **Identify the time span covered by aggregate planning.**

   - 3–7 months
   - 2–10 months
   - 4–8 months
   - **2–12 months** Correct

7. **Which of the following is Not an assumption of economic order quantity model?**

   - No uncertainty in lead time or supply
   - **Demand is always variable** Correct
   - No constraints on size of each lot
   - No quantity discounts

8. **_____ is the demand that occurs because the quantity required is a function of the demand for other items held in inventory**

   - **Dependent demand** Correct

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- None of the above
- Scheduled demand
- Independent demand

9. **Capacity options are usually of _____ range in nature**
   - Short
   - Periodical
   - **Intermediate** Correct
   - Long

10. **What would be the total backorder cost if 100 units of a product 'A' are ordered back where the back order cost is Rs. 2 per unit?**

- Rs. 102
- **Rs. 200** Correct
- Rs. 98
- Rs. 50

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THANK YOU

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